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IV Exercises

Straight line method

1. A firm purchased a plant for ` 40,000. Erection charges amounted to ` 2,000. Effective life of the plant is 5 years. Calculate the amount of depreciation per year under straight line method.

(**Answer**: ` 8,400)

2. A company purchased a building for ` 50,000. The useful life of the building is 10 years and the residual value is ` 2,000. Find out the amount and rate of depreciation under straight line method.

(**Answer**: Amount of depreciation: ` 4,800; Rate of depreciation 9.6%)

3. Furniture was purchased for ` 60,000 on 1-7-2016. It is expected to last for 5 years. Estimated scrap at the end of five years is ` 4,000. Find out the rate of depreciation under straight line method.

(**Answer**: Amount of depreciation ` 11,200; Rate of depreciation 18.67%)

4. Calculate the rate of depreciation under straight line method from the following information:

Purchased a second hand machinery on 1.1.2018 for ` 38,000

On 1.1.2018 spent `12,000 on its repairs

Expected useful life of machine is 4 years

Estimated residual value `6,000

(**Answer**: Amount of depreciation ` 11,000; Rate of depreciation 22%)

5. Calculate the rate of depreciation under straight line method.

Purchase price of a machine ` 80,000

Expenses to be capitalised ` 20,000

Estimated residual value ` 4,000

Expected useful life 4 years

(**Answer**: Amount of depreciation ` 24,000, Rate of depreciation 24%)

6. Machinery was purchased on 1st January 2015 for ` 4,00,000. ` 15,000 was spent on its erection and ` 10,000 on its freight charges. Depreciation is charged at 10% per annum on straight line method. The books are closed on 31st March each year. Calculate the amount of depreciation on machinery for the first two years.

(**Answer**: Amount of depreciation on 31-03-2015: ` 10,625; on 31-03-2016: ` 42,500)

7. An asset is purchased on 1.1.2016 for `25,000. Depreciation is to be provided annually according to straight line method. The useful life of the asset is 10 years and its residual value is ` 1,000. Accounts are closed on 31st December every year. You are required to find out the rate of depreciation and give journal entries for first two years.

(**Answer**: Amount of depreciation ` 2,400, Rate of depreciation 9.6%)